

THE OECD TAX-BENEFIT DATABASE

Description of policy rules for
the United States 2021



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Description of policy rules for 2021

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Preface

This report provides a detailed description of the tax and benefit rules in the United States as they apply to working-age individuals and their dependent children. It also includes output from the [OECD Tax-Benefit model \(TaxBEN\)](#), which puts all these complex legal rules into a unified methodological framework that enables international comparisons of how tax liabilities and benefit entitlements affect the net disposable income of families in different labour market circumstances, .e.g. in employment versus unemployment.

The **main body** of the report describes the rules that are relevant for the family and labour market characteristics that are within the scope of the **TaxBEN** model (see below for the methodology and user guide). The **annex** provides information on other cash benefits and taxes on employment income that are relevant for other groups of the working-age population, but are outside the scope of the **TaxBEN** model.

TaxBEN is essentially a large cross-country calculator of tax liabilities and benefit entitlements for a broad set of *hypothetical* families (“vignettes”), e.g. a married couple of 40-years-old adults with two children aged 4 and 6 (click [here](#) for a quick overview of the **TaxBEN** model). **TaxBEN** incorporates rules on the main taxes on employment income, social contributions paid by employees and employers, as well as the main cash and near-cash benefit programmes, including unemployment benefits, family and childcare benefits, guaranteed minimum-income benefits, cash housing benefits, and employment-conditional benefits. Disability benefits, maternity and parental leaves benefits are included in the model for a sub-set of countries and years. The main policy instruments that are currently not included in the **TaxBEN** model are taxes on wealth (e.g. taxes on immovable and unmovable properties), indirect taxes (e.g. VAT), early-retirement benefits, short-time work compensation schemes, sickness benefits, and in-kind benefits (e.g. subsidised transport and free health care).

Useful online resources for the OECD tax-benefit model (TaxBEN)



[TaxBEN web calculator](#)



[Methodology and user guide](#)



[OECD tax-benefit data portal](#)



[Network of national experts](#)

Guidelines for updating this report (for national experts)



[General guidelines](#)

Detailed [guidelines for updating Section 5](#) “Net costs for Early Childhood Education and Care”

Reading notes and further details on the content of this report

- **Reference date** for the policy rules described in this report: **January 1, 2021**.
- The TaxBEN models all policies in effect on the reference date. This includes temporary policies implemented in response to the **Covid-19 pandemic**.
- The symbol ⓘ in the text provides a link to the glossary of technical terms.
- Section titles provide the names of taxes and benefits as they are known in the country: first, direct translation into English, then (in brackets) the name in the national language.
- **TaxBEN** variables are indicated in the text using the format **[variable name]**.

The OECD tax-benefit model for the United States: Policy rules in 2021

1. Reference wages and other reference amounts

Average wage **[AW]**: The OECD tax-benefit model (TaxBEN) uses Secretariat estimates of the average full-time wage (available [here](#)).¹ If Secretariat estimates are not available yet, the model uses wage projections obtained by applying forecasted wage growth² to the latest available wage estimate.

While the minimum wage in Detroit Michigan in 2021 is USD 9.65 per hour, the TaxBEN model uses the federal minimum wage **[MIN]**, which in 2021 is USD 7.25 per hour. The annual minimum wage in the OECD tax-benefit model is computed by multiplying the minimum hourly wage (as of January 1, 2021) by 40*52, i.e. USD 7.25*40*52 = USD 15,080.³

2. Unemployment benefits

2.1. Unemployment insurance

Variable names:⁴ **[UB; UI_p; UI_s]**

This benefit is contributory, not means-tested and taxable. 

2.1.1. Eligibility conditions

Each state administers its own programme. Eligibility conditions differ from state to state, as do maximum benefit levels. This section describes the system in Michigan, which is modelled in TaxBEN.

Earnings requirement: The earnings requirement details how much an individual must have earned and the period of time during which the individual must have had earnings

¹ Average Wages are estimated by the [Centre for Tax Policy and Administration](#) at the OECD. For more information on methodology see the latest [Taxing Wages publication](#).

² Wage growth projections are based on [OECD Economic Outlook](#) and [EU economic forecasts](#) (for non-OECD countries).

³ Note that statutory minimum wage levels differ across states and are above the federal level in most states, see here: <https://www.dol.gov/whd/minwage/america.htm>. TaxBEN assumes the federal minimum wage level.

⁴ Each (sub-)section in this chapter lists the variable names for the different benefits and taxes as they are used in TaxBEN. The first variable usually denotes the aggregate component while variable names ending with “_p” refer to the first adult (so-called “principal” adult) whereas those ending with “_s” are related to the spouse (alternative specifications to denote adults are possible, e.g. “_1” and “_2”). For instance, in this section, **UB** denote unemployment benefits, which are the sum of individual-specific unemployment insurance benefits of the principal adult, **UI_p**, and the spouse, **UI_s** (as relevant).

to qualify for benefits. To qualify for the minimum weekly benefit amount (WBA), High Quarter Wages (Hqw) must equal USD 3,667 and Base Period Wages (BPW) must equal USD 5,501 with BPW being 1½ times the Hqw, with wages in 2 quarters. Alternatively, BPW must equal 20 times the state average weekly wage (SAWW) with wages in 2 quarters (USD 20,458.40 in BPW).⁵

Minimum employment record: The “Minimum Employment Record” (or “Coverage Threshold”) in a state is the threshold amount of wages that determines whether an employer is subject to the payment of unemployment taxes (and consequently their employees are then covered by the unemployment program in the state). Whether an employing unit is an employer depends on the number of days or weeks a worker is employed or the amount of the employing unit’s quarterly or yearly payroll. Except for agricultural labor and domestic service, if an employing unit or employer paid wages of \$1,500 or more in any calendar quarter in the current or immediately preceding calendar year, or if the employing unit had one or more workers on at least one day in each of 20 weeks during the current or immediately preceding calendar year. In the TaxBEN model it is assumed that employers meet these thresholds (see Section 7.2 for further details on unemployment insurance taxes). However, the employer does not have to pay a minimum amount of taxes with respect to an individual for this individual to qualify for benefits.⁶

Behavioural requirements:⁷

Generally, all states require that UI recipients be able to work and available for full-time work. All states also require that UI recipients be actively seeking work. TaxBEN assumes “involuntary” job loss and that the behavioural requirements are satisfied.

2.1.2. Benefit amount

The weekly benefit amount (WBA) in Michigan is calculated as the 4.1 percent of Hqw during the Base Period plus USD 6 for each dependent up to 5 dependents, maximum WBA is the same with or without dependents. The benefit is bound by a minimum WBA of USD 150 (USD 150*14 weeks (see Section 2.1.3) = USD 2,100 per benefit year), and a maximum of USD 362 per week (USD 362*20 weeks (see Section 2.1.3) = USD 7,240 per benefit year).

2.1.3. Benefit duration

Workers get regular state UI benefits for 14 to 20 weeks, based upon amount of wages earned. No waiting period is required. If they are still unemployed after those benefits

⁵ The base period comprises 4 quarters (according to the “standard” or “alternate” base period). The Hqw is the quarter with the highest wages out of these 4 quarters. *Note:* As the TaxBEN model does not take into account quarterly wages, only the BPW requirement is implemented.

⁶ Consequently, the “minimum employment record” for individual workers as implemented in TaxBEN is only related to the requirement of having earnings in at least 2 quarters, as defined in the ‘earnings requirement’ above.

⁷ Details on behavioural requirements and sanction provisions for unemployment benefits are reported in regularly updated companion reports, see [Immervoll and Knotz \(2018\)](#), [Lanzenbuecher \(2015\)](#) and [Venn \(2011\)](#).

are exhausted, they will draw Extended Benefits if the state has triggered on Extended Benefits and is in an Extended Benefits period.⁸

In Michigan, the duration of benefits is variable dependent on earnings. In general, individuals with more earnings throughout a specified 12-month period would be eligible for more weeks of benefits than individuals with fewer earnings during a specified 12-month period. For simplicity, the TaxBEN model applies the maximum duration of benefits in Michigan on January 1, 2021, which was 20 weeks.

2.1.4. Means test

See Section 2.1.7.

2.1.5. Tax treatment

Unemployment insurance benefit income is subject to both federal and state government income tax, but is exempted from social security taxes.

2.1.6. Interaction with other components of the tax-benefit system

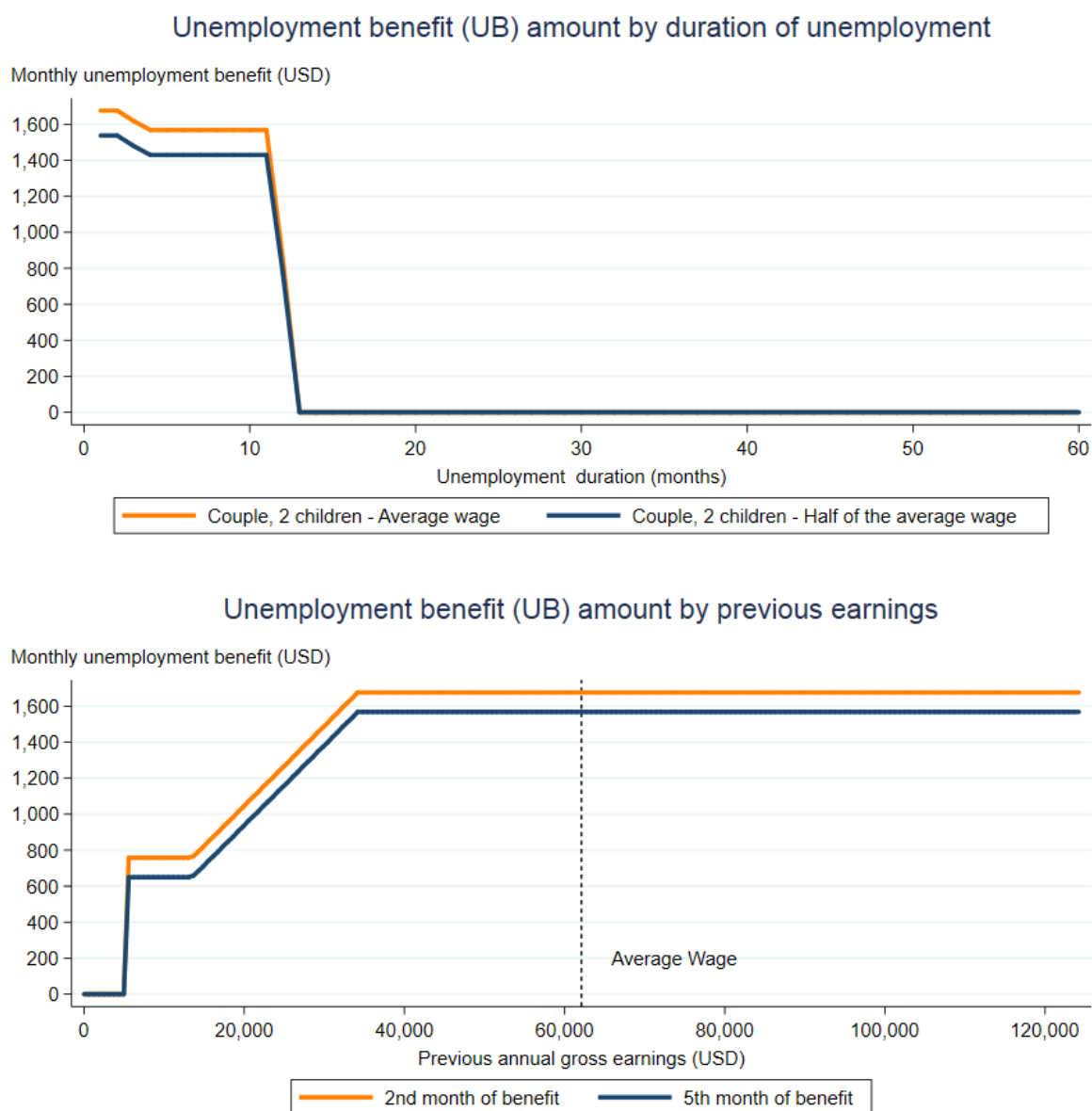
None.

2.1.7. Combining benefit receipt and employment/starting a new job

The benefit is compatible with work but earnings reduce the amount of unemployment benefits. The weekly benefit amount (WBA) is reduced by 50 cents for every dollar earned during that week. Individuals earning more than 1.5 times their WBA are ineligible to receive benefits for that week.

⁸ States that qualify for the Extended Benefit (EB) are those with a 13-week IUR (insured unemployment rate) of 5 percent or higher, and 120 percent above the IUR rate for the corresponding 13-week period in the two previous years. Michigan qualified for EB beginning April 26, 2020. On January 1, 2021, EB was payable. The maximum number of weeks of EB is 13 or 50 percent of the total amount of regular state UI benefits, whichever is less. The amount is the same as under the regular state UI benefit.

Figure 1. Unemployment insurance by time of receipt and previous earnings



Note: Results are for a couple, both aged 40, with 2 children and with a ‘long’ and continuous previous employment record. In Panel B: The difference between the two scenarios is due to the removal of benefits within the 5th months of receipt. Results include Federal Pandemic Unemployment Compensation (FPUC).

Source: Results based on the OECD tax-benefit model.

COVID-19 measures (Implemented in TaxBEN)

2.2. Pandemic Emergency Unemployment Compensation (PEUC)

2.2.1. Entitlement and eligibility conditions

PEUC is a temporary program that provides 24 times the individual’s average benefit amount of 100% Federally-funded benefits to individuals who:

- have exhausted all rights to regular compensation under state law or Federal law with respect to a benefit year that ended on or after July 1, 2019;
- have no rights to regular compensation with respect to a week under any other state unemployment compensation (UC) law or Federal UC law, or to compensation under any other Federal law;
- are not receiving compensation with respect to a week under the UC law of Canada;
- and are able to work, available to work, and actively seeking work, while recognizing that states must provide flexibility in meeting the “actively seeking work” requirement if individuals are unable to search for work because of COVID-19, including because of illness, quarantine, or movement restriction.

2.2.2. Benefit amounts

The WBA (weekly benefit amount) payable to an individual for a week of total unemployment is equal to the amount of regular compensation (including dependents’ allowances) payable to such individual during the applicable benefit year for a week of total unemployment under the applicable state law.

2.2.3. Benefit duration

In states where the week of unemployment ends on Saturday, the first possible week for which PEUC may be paid is the week ending April 4, 2020. In states where the week of unemployment ends on Sunday, the first possible week for which PEUC may be paid is the week ending April 5, 2020. Under the Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020, PEUC was not payable for any week of unemployment ending after December 31, 2020.

Under the Continued Assistance to Unemployed Workers Act (Continued Assistance Act), the PEUC program was extended, without interruption, to weeks of unemployment payable week ending March 13, 2021, in states where the week of unemployment ends on a Saturday, and March 14, 2021, in states where the week of unemployment ends on a Sunday.

An individual may collect up to 24 times their average weekly benefit amount, though a certain amount may only be collected for weeks of unemployment ending on or after January 2, 2021 (11 times the average weekly benefit amount).

2.2.4. Means test

The PEUC program does not have a means test.

2.2.5. Tax treatment

PEUC benefit income is subject to both Federal and State government income tax.

2.2.6. Interactions with other components of the tax-benefit system

In order to receive PEUC, an individual must have exhausted the right to regular compensation under State law. Therefore, at each quarter change, a State must check to see if an individual has earned enough wages to:

- establish a new benefit year in the State;
- establish a new benefit year in any other State; or

- establish a new benefit year if wages from one or more states are combined (a combined wage claim (CWC)).

2.2.7. *Combining benefit receipt and employment/starting a new job*

An individual could perform work on a part-time basis, thus receiving a reduced PEUC benefit amount due to earnings, and still receive PEUC. The earnings disregard is based on state law.

Additional details:

https://www.everycrsreport.com/files/2021-01-11_IF11723_1334e2cfd7992fc0604b9666edd3b93c75d9c7ad.pdf

COVID-19 measures (Implemented in TaxBEN)

2.3. *Federal Pandemic Unemployment Compensation (FPUC)*

2.3.1. Entitlement and eligibility conditions

Under the CARES Act, the Federal Pandemic Unemployment Compensation (FPUC) program was created. This program provides an additional supplemental payment each week to individuals who are collecting regular UC (including Unemployment Compensation for Federal Employees (UCFE) and Unemployment Compensation for Ex-Service members (UCX)), as well as the following unemployment compensation programs:

- Pandemic Emergency Unemployment Compensation (PEUC);
- Pandemic Unemployment Assistance (PUA);
- Extended Benefits (EB);
- Short Time Compensation (STC);
- Trade Readjustment Allowances (TRA);
- Disaster Unemployment Assistance (DUA); and
- Payments under the Self-Employment Assistance (SEA) program.

A number of state laws include provisions for extending the potential duration of benefits during periods of high unemployment for individuals in approved training who exhaust benefits, or for a variety of other reasons. Although some state laws call these programs “extended benefits,” the Department uses the term “additional benefits” (AB) to avoid confusion with the Federal-State EB program. FPUC is not payable to individuals who are receiving AB payments.

2.3.2. Benefit amounts

The FPUC program provided an additional \$600 per week payment to individuals collecting at least \$1 of UC under an approved UC program for weeks of unemployment beginning with week ending April 4, 2020, through week ending July 25, 2020.

The FPUC program was reauthorized under the Continued Assistance Act to provide \$300 per week in supplemental benefits to individuals collecting at least \$1 of UC for weeks of

unemployment beginning week ending January 2, 2021, through week ending March 13, 2021.

2.3.3. Benefit duration

Under the CARES Act, in states where the week of unemployment ended on a Saturday, the first week that FPUC was paid was the week ending April 4, 2020. In states where the week of unemployment ended on a Sunday, the first week for which FPUC was payable was the week ending April 5, 2020. In states where the week of unemployment ended on a Saturday, the last week FPUC was payable was the week ending July 25, 2020. For states where the week of unemployment ends on a Sunday, the last week FPUC was payable was the week ending July 26, 2020.

Under the Continued Assistance Act, in states where the week of unemployment ends on a Saturday, the first week FPUC is payable is the week ending January 2, 2021. In states where the week of unemployment ends on a Sunday, the first week FPUC was payable was the week ending January 3, 2021, and the last week in which FPUC will be payable is March 13, 2021, in states where the week of unemployment ends on a Saturday, and March 14, 2021, in states where the week of unemployment ends on a Sunday.

2.3.4. Means test

The FPUC program does not have a means test.

2.3.5. Tax treatment

FPUC benefit income is subject to both Federal and State government income tax

2.3.6. Interactions with other components of the tax-benefit system

Receipt of FPUC is conditioned upon an individual being able to receive at least \$1 from an approved UC program. FPUC cannot be received alone.

2.3.7. Combining benefit receipt and employment/starting a new job

FPUC is payable if an individual is able to receive at least \$1 in UC payment under an approved program. Therefore, an individual could perform work on a part-time basis, thus receiving a reduced benefit amount due to earnings, and still receive the full FPUC amount for a given week. The earnings disregard is based on state law.

2.4. Unemployment assistance

None.

COVID-19 measures (Implemented in TaxBEN)

2.5. Pandemic Unemployment Assistance (PUA)

2.5.1. Entitlement and eligibility conditions

The Pandemic Unemployment Assistance (PUA) program was created under the Coronavirus Aid, Relief, and Economic Security (CARES) Act of 2020. PUA provides benefits to covered individuals, who are those individuals not eligible for regular

unemployment compensation (UC) or extended benefits under state or Federal law or Pandemic Emergency Unemployment Compensation (PEUC), including those who have exhausted all rights to such benefits. Covered individuals also include self-employed, those seeking part-time employment, individuals lacking sufficient work history, and those who otherwise do not qualify for regular unemployment compensation or extended benefits under state or Federal law or PEUC. Under the American Rescue Plan Act of 2021, PUA has an expiration date of September 6, 2021.

PUA is payable to individuals who are ineligible for regular UC, and are unemployed, partially unemployed, or unable or unavailable to work due to one of the COVID-19 related reasons identified in Section 2102(a)(3)(A)(ii)(I) of the CARES Act and in the Departments guidance and are listed below:

- The individual has been diagnosed with COVID-19 or is experiencing symptoms of COVID-19 and is seeking a medical diagnosis;
- A member of the individual's household has been diagnosed with COVID-19;
- The individual is providing care for a family member or a member of the individual's household who has been diagnosed with COVID-19;
- A child or other person in the household for which the individual has primary caregiving responsibility is unable to attend school or another facility that is closed as a direct result of the COVID-19 public health emergency and such school or facility care is required for the individual to work;
- The individual is unable to reach the place of employment because of a quarantine imposed as a direct result of the COVID-19 public health emergency;
- The individual is unable to reach the place of employment because the individual has been advised by a health care provider to self-quarantine due to concerns related to COVID-19;
- The individual was scheduled to commence employment and does not have a job or is unable to reach the job as a direct result of the COVID-19 public health emergency;
- The individual has become the breadwinner or major support for a household because the head of the household has died as a direct result of COVID-19;
- The individual has to quit his or her job as a direct result of COVID-19;
- The individual's place of employment is closed as a direct result of the COVID-19 public health emergency;
- An independent contractor who experiences a significant diminution of work as a result of COVID-19.;
- Individuals who refuse to return to work that is unsafe or to accept an offer of new work that is unsafe;
- Certain individuals providing services to educational institutions or educational service agencies; or
- Individuals experiencing a reduction of hours or a temporary or permanent layoff.

Individuals must self-certify each week they claim PUA benefits that they meet one or more of these COVID-19 related criteria.

2.5.2. *Benefit amounts*

The PUA WBA is equal to the WBA authorized under state UC (unemployment compensation) law where the individual was employed, except that for individuals without reported wages sufficient to establish a WBA, the WBA will be calculated according to processes for Disaster Unemployment Assistance. As set out in 20 C.F.R. §625.6(b), the minimum PUA WBA is “50 percent of the average weekly payment of regular compensation in the state, as provided quarterly by the Department.”

2.5.3. *Benefit duration*

Under the CARES Act, the duration of PUA benefits was limited to no more than 39 weeks, minus any weeks of regular UC and Extended Benefits (EB) the individual received.

2.5.4. Under the Continued Assistance Act, the duration of PUA benefits was extended to no more than 50 weeks, minus any weeks of regular UC and EB received by the individual. Means test

The PUA program does not have a means test.

2.5.5. *Tax treatment*

PUA benefit income is subject to both Federal and State government income tax.

2.5.6. *Interactions with other components of the tax-benefit system*

PUA provides benefits to covered individuals, who are those individuals not eligible for regular unemployment compensation (UC) or extended benefits under state or Federal law or Pandemic Emergency Unemployment Compensation (PEUC), including those who have exhausted all rights to such benefits and who are unemployed, partially unemployed, or unable or unavailable to work because of identified COVID-19 related reason(s).

2.5.7. *Combining benefit receipt and employment/starting a new job*

An individual could perform work on a part-time basis, thus receiving a reduced benefit amount due to earnings, and still receive PUA. The earnings disregard is based on state law.

3. Social assistance and housing benefits

3.1. *Supplemental Nutrition Assistance Program (SNAP)*

Variable names: **[SA]**

This is a non-contributory benefit, means-tested and not taxable.

SNAP is in place since 1977 and was known as the *Food Stamp Program* before 2008. It is designed primarily to increase the food purchasing power of eligible low-income households to a point where they can buy a nutritionally adequate low-cost diet. This benefit scheme is classified as ‘social assistance’ in TaxBEN. The Temporary Assistance for Needy Families (TANF) is covered in Section 4. Other social assistance programmes such as state General Assistance (GA) and Supplemental Security Income (SSI) are beyond the scope of TaxBEN but are briefly described in the Annex.

Between 2002 and 2012 the participation (“take-up”) rate for Food Stamps/SNAP rose sharply, from 54 percent to 83 percent. Between 2013 and 2017, participation rates have remained fairly steady, fluctuating between 83 and 85 percent.⁹

3.1.1. Eligibility conditions

Households who meet the income and asset tests described below and who meet other requirements (such as work registration and immigration rules, for example) are eligible for SNAP benefits. To be entitled to the benefit, households need to pass two income tests and an asset test except for households where all members receive TANF, GA or SSI, who qualify automatically¹⁰:

- Basic (gross) monthly income must not exceed 130 percent of the poverty guidelines;
- Counted (net) monthly income must not exceed 100 percent of the poverty guideline;
- Countable assets cannot exceed USD 3500 for households with an elderly or disabled member, USD 2250 for other households (not considered in TaxBEN).

The net income guideline for a family of four in 2021 was USD \$2,184 per month (see table below for further family types).

Household with elderly (aged 60 and over) members do not need to meet the basic (gross) income guideline and are waived from other programme requirements.

3.1.2. Benefit amount

Basic (gross) monthly income is the cash household income. Earned income before federal, state and local taxes, and social security contributions is counted, as is TANF, Social Security income, Supplemental Security Income benefits, child support payments, retirement pensions, and virtually all other unearned income. The Earned Income Tax Credit (EITC) (see Section 6) is not included in basic monthly income. Also excepted is unanticipated, irregular or infrequent income up to USD 30/quarter and income from tax refunds.

In Fiscal Year (FY) 2021, net monthly income was calculated by deducting the following from gross monthly income:

- A standard deduction for all SNAP households: USD 167 for households of 3 persons or less; USD 181 for 4-person households; USD 212 for 5-person households and USD 243 for 6 or more persons¹¹;
- 20 per cent of gross earnings in recognition of taxes and work related expenses;

⁹ See <https://fns-prod.azureedge.net/sites/default/files/resource-files/Trends2010-2017.pdf> Table H.1, page xiii.

¹⁰ This automatic qualification is referred to as “*categorical eligibility*”. Households in which all members are receiving benefits through TANF, SSI, or GA are categorically eligible for SNAP. In addition, states are required to confer categorical eligibility on households receiving benefits or services that are at least 50 percent funded by TANF and have the option to confer categorical eligibility on households receiving benefits or services that are less than 50 percent funded by TANF. Many states have chosen to provide a TANF-funded noncash benefit to confer categorical eligibility on a broad number of households; this is known as broad-based categorical eligibility. In January 2021, 43 states, including Michigan, had adopted broad-based categorical eligibility policies. Michigan applied broad-based categorical eligibility to any household with gross income less than or equal to 200 percent of poverty and with total countable assets less than or equal to USD 15,000.

¹¹ Since FY 2003, the standard deduction has been equal to 8.31 percent of the poverty guideline which varies by household size (see in the table below).

- Out-of-pocket medical expenses for elderly or disabled household members in excess of USD 35 as well as out-of-pocket dependent-care expenses necessary for work, school, or while seeking employment (not modelled in TaxBEN);
- Excess shelter expense (rent or mortgage and utility expenses) if shelter expenses exceed 50 per cent of gross income less the above deductions, with a maximum of USD 586 per month for households with no elderly or disabled members. Households with elderly or disabled members do not face a shelter expense cap.
- A dependent care deduction when needed for work, training, or education.
- A standard shelter deduction for homeless households of \$156.74.
- In some states, court ordered child support payments made to non-household members (not modelled in TaxBEN);

As low-income families are expected to spend 30 per cent of their net income on food, the maximum benefit amounts are decreased by 30 per cent of counted (net) income.

COVID-19 measures (Implemented in TaxBEN)

Families First Coronavirus Response Act

The Families First Coronavirus Response Act allows States to request waivers for issuance of emergency allotments (supplements) based on a public health emergency declaration. A household's emergency allotment cannot increase the current monthly household SNAP benefit beyond the applicable maximum monthly allotment for the household size. Michigan (and other States) has received a waiver to temporarily issue emergency allotments to SNAP households that do not already receive the maximum monthly allotment for their household size.

The Consolidated Appropriations Act of 2021 temporarily increased maximum SNAP benefits to reflect 115 percent of the Thrifty Food Plan (115 percent of the amounts shown in the table below) for January to June 2021.

A minimum monthly payment of USD 16 per month is applicable to one or two person households entitled to SNAP. Maximum Monthly SNAP allotments are linked to family size (see table).

Maximum monthly SNAP allotments for January 2021 (in USD per month)

Household size (persons)	Maximum allotments	Gross income eligibility limit	Net income eligibility limit (Poverty Guideline)
1	\$234	\$1,383	\$1,064
2	\$430	\$1,868	\$1,437
3	\$616	\$2,353	\$1,810
4	\$782	\$2,839	\$2,184
5	\$929	\$3,324	\$2,557
6	\$1,114	\$3,809	\$2,930
7	\$1,232	\$4,295	\$3,304
8	\$1,408	\$4,780	\$3,677
Each additional person	+\$176	+\$486	+\$374

3.1.3. Benefit duration

No time limit, as long as eligibility conditions are met for most participants. SNAP benefits are issued monthly. Households are required to periodically submit information in order to be recertified for SNAP. Healthy, childless adults aged 18-49 are subject to strict work requirements and may receive benefits for only three months in any 36-month period unless they work, meet work requirements, are exempted under other provisions of law, or live in an area waived from work requirements due to insufficient jobs. In January 2021, the time limit was suspended due to the COVID-19 pandemic.

COVID-19 measures (Not currently implemented in TaxBEN model)

In response to the COVID-19 pandemic, the Families First Coronavirus Response Act temporarily suspends the time limit for most ABAWDs from April 1, 2020 through the month following the month in which the public health emergency declaration is lifted.

3.1.4. Means test

See Sections 3.1.1, 3.1.2 and 3.1.7.

3.1.5. Tax treatment

SNAP benefits are not taxable.

3.1.6. Interaction with other components of the tax-benefit system

SNAP benefits are not included in the means test of any other benefit.

3.1.7. Combining benefit receipt and employment/starting a new job

20 per cent of gross earnings are disregarded in SNAP income test in recognition of taxes and work related expense.

COVID-19 measures (Implemented in TaxBEN)

3.2. Recovery rebates for individuals

First round: The Coronavirus Aid, Relief, and Economic Security Act (CARES) provides that all U.S. residents who are not a dependent of another taxpayer and have a work eligible social security number, are eligible for a \$1,200 (\$2,400 joint return) rebate. In addition, they are eligible for an additional \$500 per child under age 17. The credit phases out at 5% of adjusted gross income in excess of \$75,000 (\$150,000 joint return). Those who do not have to file tax returns, such as those whose income comes entirely from non-taxable means-tested benefit programs including SSI benefits, are eligible for the rebates.

Second round: A second round of benefits were passed as part of the Consolidated Appropriations Act in December of 2020.¹²

Third round: A third round of benefits were passed in the American Rescue Plan Act in March of 2021.¹³

¹² <https://crsreports.congress.gov/product/pdf/IN/IN11575/3>

¹³ <https://crsreports.congress.gov/product/pdf/IN/IN11604>

3.2.1. Entitlement and eligibility conditions

First round: Recipients must be US residents, have a social security number, and not be a dependent of another taxpayer. Tax units with any member without a social security number (i.e., mixed status households) are disqualified.

Second round: Recipients must be US residents, have a social security number, and not be a dependent of another taxpayer. In tax units where, for example, one member has a SSN and another does not, only the member with the SSN will receive the payment.

Third round: Recipients must be US residents, have a social security number, and not be a dependent of another taxpayer. In tax units where, for example, one member has a SSN and another does not, only the member with the SSN will receive the payment.

3.2.2. Benefit amounts

First round: The rebate is \$1,200 for single return (\$2,400 joint return) rebate. In addition, there is a \$500 per child (where child is defined to be under 17 years of age) additional rebate.

Second round: The rebate is \$600 for single return (\$1,200 joint return) rebate. In addition, there is a \$600 per child (where child is defined to be under 17 years of age) additional rebate.

Third round: The rebate is \$1,400 for single return (\$2,800 joint return) rebate. In addition, there is a \$1,400 per dependent (any age, not limited to children) additional rebate.

3.2.3. Benefit duration

All three rounds are one-time payments.

3.2.4. Means test

First round: Eligibility phases out at 5% of adjusted gross income in excess of \$75,000 for single returns (\$112,500 for head of household, \$150,000 for joint returns).

Second round: Eligibility phases out at 5% of adjusted gross income in excess of \$75,000 for single returns (\$112,500 for head of household, \$150,000 for joint returns).

Third round: Eligibility phases out over a range of income: \$75,000-\$80,000 if single, \$112,500- \$120,000 if single with dependents, or \$150,000-\$160,000 for most married couples. The payment phases down proportionally in relation to income in the phase-out range. The larger the payment, the faster the payment phases down by income.

3.2.5. Tax treatment

All three rounds are not taxable, and are not considered income for purposes of determining eligibility for other government assistance programs.

3.2.6. Interactions with other components of the tax-benefit system

N/A

3.2.7. Combining benefit receipt and employment/starting a new job

N/A

Relevant Websites:

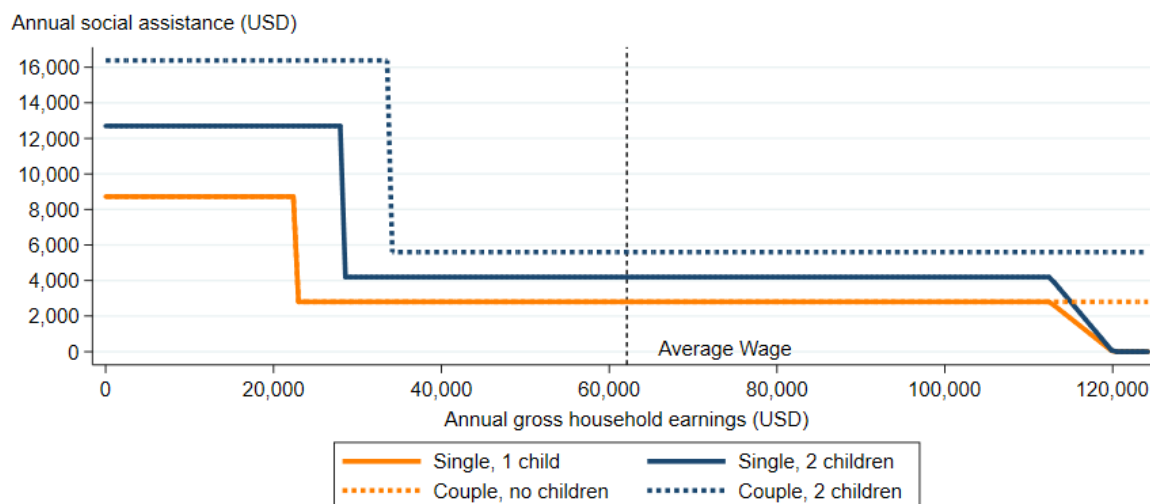
<https://crsreports.congress.gov/product/pdf/IN/IN11576>

<https://crsreports.congress.gov/product/pdf/IN/IN11575/3>

<https://crsreports.congress.gov/product/pdf/IN/IN11604>

Figure 2. Social Assistance by family type

Social Assistance amount by earnings and family type



Note: Results for a single without children aged 40 and for a one-earner couple with two children aged 4 and 6 (adults aged 40) where the spouse is without work but available to the labour market (i.e. assumed to meet any behavioural eligibility requirements as applicable). Note that gross earnings are supplemented with TANF benefits with performing the SNAP means test. Results include the third round of Covid-19 related rebate payment.

Source: Calculations based on the OECD tax-benefit model.

3.3. Housing benefits

The three major federal rental assistance programs are: 1) public housing; 2) project-based Section 8; 3) tenant-based Section 8 vouchers. Individual states are permitted to use funds from a limited number of other federal programmes to provide rental housing assistance. For example, some states choose to allocate a portion of funding from the Temporary Assistance to Needy Families (TANF) programme to operate rental subsidy programs, though these programs generally offer assistance that is short in duration and for limited numbers of specific target populations. Given long waiting periods for some of these benefits and the level of discretion in their admission, they are not covered in TaxBEN. Some further details can be found in the Annex.

4. Family benefits

4.1. Temporary Assistance for Needy Families (TANF)

Variable names: **[FB]**

TANF provides families with children with financial assistance and related support services. In Michigan this benefit is called Family Independence Program (FIP).

This is a non-contributory benefit, means-tested and not taxable.

Note however that actual participation (“take-up”) rates for TANF have been declining continuously since the program’s creation. A historically low 24.5 percent of families who met program eligibility requirements actually received TANF benefits in 2017 (most recent data available) – down from 78.9 percent in 1996.¹⁴

4.1.1. Eligibility conditions

Although states may impose various conditions on the receipt of assistance, a family must, based on Federal law, include at least one minor child (in Michigan, 17 years or younger, 18 years if a full-time student) or the mother must be pregnant.¹⁵ Also, the applicant must be a US national, citizen, or permanent resident.

4.1.2. Benefit amount

There are no Federal TANF rules or requirements regarding the state’s calculation of benefits. Each state may establish its own benefit levels and determine its own benefit calculation. The benefit is calculated based on the number of family members using the following monthly amounts (Michigan; TANF benefit levels have not changed since 2009 in Michigan):

- 1 person: USD 306 (e.g. pregnant lone mother expecting first child)
- 2 people: USD 403
- 3 people: USD 492
- 4 people: USD 597
- 5 people: USD 694
- 6 people: USD 828
- 7 people: USD 905

4.1.3. Benefit duration

Eligibility and benefits are determined monthly. Federal funding for a family with an adult receiving federally funded TANF assistance is limited to 60 months. The 60 months do not have to be consecutive, but it is a lifetime limit. States may use their own funds to provide benefits after the expiration of the 60 months or exclude families from the accumulation of months toward the federal 60-month limit. States may also create their own time limits (in addition to the federal time limit). Many states have either shortened the time limit (for example, several states have a 24 month time limit) or limited the number of months that a family may receive benefits within a certain period of time. For example, the family may receive benefits for 24 months within a 60 month period, but there is a lifetime limit of 60 months of federally-funded assistance with up to 20 percent of the caseload exempted from the Federal time limit due to hardship.

Michigan did not enforce a time limit from 1996 to 2007 but has enacted a 48-month time limit as of October 2007, regardless of the funding source (federal or state funds). The time limit includes exemptions for age (65 or older), a verified disability or long-term incapacity, and when a spouse or parent provides care for a disabled family member living in the home.

4.1.4. Means test

¹⁴ See <https://aspe.hhs.gov/system/files/pdf/265031/welfare-indicators-and-risk-factors-19th-report.pdf>, p. 3.

¹⁵ In Michigan, children aged between 6 and 17 are not eligible for the program if they are not in school. The TaxBEN model assumes that eligible children attend school.

TANF benefits are means-tested against income. Except where another Federal statute specifies that certain income or other benefits should be disregarded, each state may decide which income to consider in calculating the benefit amount. See Section 4.1.7 for the treatment of earned income.

4.1.5. Tax treatment

Family benefits are not taxable.

4.1.6. Interaction with other components of the tax-benefit system

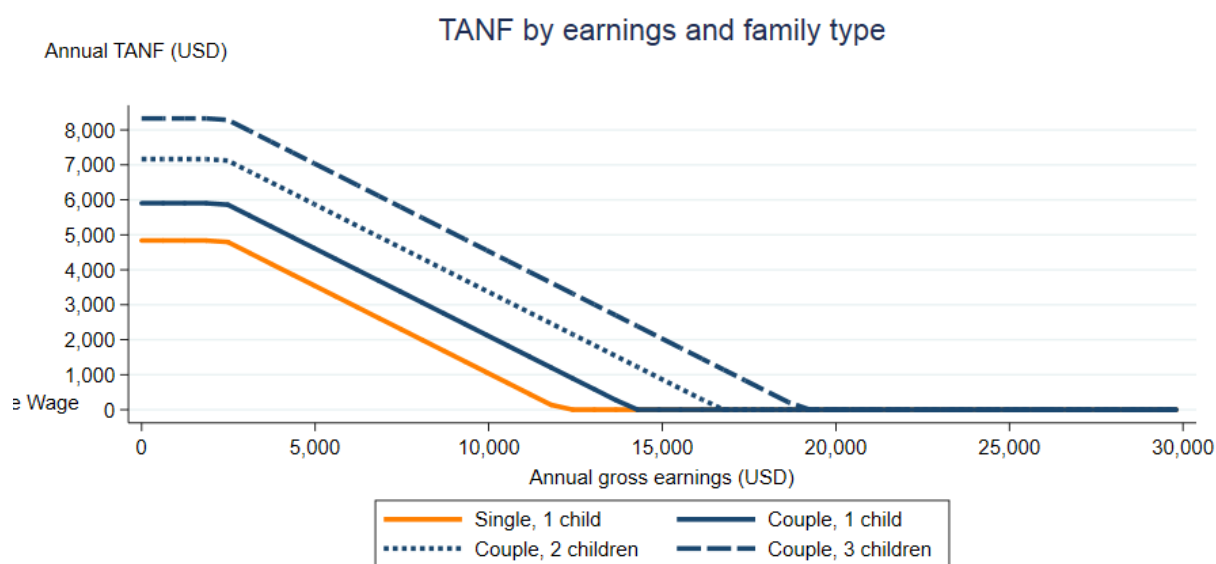
TANF benefits are included in the means-test for SNAP, see Section 3.1.

4.1.7. Combining benefit receipt and employment/starting a new job

Although this benefit is compatible with earnings there is considerable variation among the states in their treatment of earned income. In calculating the monthly benefit, Michigan disregards the first USD 200 of income earned plus 20 per cent of any additional earnings to determine initial eligibility; once eligibility has been established, it disregards the first USD 200 of income earned plus 50 per cent of any additional earnings.

Across all states, the fixed income disregard ranges from zero to USD 250 and the variable disregard from zero to 100 per cent up to a limit, which can be based on income and/or time since starting work. In general, states with high fixed disregards tend to have smaller variable disregards and vice versa. Some states (not Michigan) impose a "family cap" on benefits. The initial benefit is based on the size of the family at the time of application, and benefits in some states do not increase for additional children conceived after eligibility is determined. Michigan does not have a "family cap."

Figure 3. TANF by family type



Note: Results for a single parent with one child, and a one-earner couple with two, three, and four children. Adults are aged 40, children are below age 18. The spouse in the one-earner couple is without work but available to the labour market (i.e. assumed to meet any behavioural eligibility requirements as applicable). Note that while the figure shows how TANF benefit varies with gross income, the benefit is calculated using net income.

Source: Calculations based on the OECD tax-benefit model.

5. Net costs of Early Childhood Education and Care

The **reference date** for the policy rules described in this section is **January 1, 2021**.

The compulsory school age is age 5. Of children served in centers, according to a 2012 survey (most recent), 83 percent of children attend private centers, and 16 percent attend public centers.¹⁶

Gross child care fees are not regulated by any laws. However, for families receiving CCDF child care subsidies, copayment amounts are determined by states.

5.1. Gross childcare fees

Variable names: `[UScc_cost]`

Child care services are primarily provided through a market-based system at rates determined by market forces in the priced child care market. Hence, gross fees charged to parents are set autonomously by the providers and vary substantially based on region, state, age of child, and type of child care setting. Therefore, average gross fees are implemented in TaxBEN.¹⁷ In 2020 (most recent data available), the average annual cost of full-time, centre-based child care in Michigan was USD 10,870 for infants and USD 8,959 for a 4-year old (in TaxBEN, these rates are uprated to 2021 using CPI).¹⁸ TaxBEN considers the fee for infants as representative of the costs for all children aged 0-2 years, and applies the costs for 4-year old children to all children aged 3-5 years.

No estimates are available for the cost of meals, as this is not a standardized service. Accordingly, meal costs are not considered in TaxBEN.

5.1.1. Discounts for part-time usage

Michigan pays its child care subsidies based on an hourly rate, which would be the same for full-day and part-time care. See Section 5.3.2.

5.2. Fee discounts and free provision I (Head Start Program and State Preschool Programs)

The federal Head Start Program¹⁹ provides free centre-based care to children aged 3 and 4 from low-income families (a very limited number of slots are also available to pregnant women and infants aged 0 through 2 via the Early Head Start Program). Family incomes (before taxes) must be equal to or below the federal Poverty Guidelines, which on January 1st, 2021 for a family of 3 was USD 21,330.²⁰ Children in foster care, children experiencing homelessness, and children from families eligible to receive

¹⁶ https://www.acf.hhs.gov/sites/default/files/opre/characteristics_of_cb_ece_programs_111014.pdf

¹⁷ Note, however, that these gross fees are applied subject to a ceiling for the calculation of childcare subsidies (cp. Section 5.3). If providers want to charge more than the ceiling, parents may pay that difference directly to the provider, outside of the subsidy program.

¹⁸ Michigan State Fact Sheet, Child Care Aware of America, 2020, https://info.childcareaware.org/hubfs/2020%20State%20Fact%20Sheets/Michigan-2020StateFactSheet.pdf?utm_campaign=Picking%20Up%20The%20Pieces&utm_source=Michigan%20SFS

¹⁹ <https://eclkc.ohs.acf.hhs.gov/programs/article/head-start-programs>

²⁰ <https://aspe.hhs.gov/poverty-guidelines>

public assistance (TANF or SSI) are eligible for Head Start regardless of income. Additionally, programs are allowed to enroll a limited number of children (up to 35 percent of total Head Start enrollment) with incomes between the federal poverty line and 130 percent of the federal poverty line. Finally, up to 10 percent of a program's enrollment may include any other children who would benefit from services, regardless of family income. Families do not pay a fee. Some programs are full-day and some are part-day. TaxBEN models the full-day Head Start Program for children aged 3 and 4 for families with income below the federal poverty line.

Many states also have preschool programs (frequently called public pre-kindergarten programs) that serve 3 and 4-year olds, though these programs vary dramatically across states in terms of numbers served, eligibility requirements, and parent co-payment and are therefore not considered in TaxBEN. Across states in 2018 (most recent data available), an (unweighted) average of 34 percent of 4-year olds are served by state preschool, and an (unweighted) average of 6 percent of 3-year olds are served by state preschool. Average state spending per child is USD 5,374.21. In Michigan in 2018, 32 percent of 4-year-olds were served and no 3-year-olds were served. The income eligibility threshold was 250 percent of the federal poverty line (USD 54,300 for a family of three). The cost per child, paid by the government, was USD 6,586.22.

5.3. Fee discounts and free provision II (Child Care and Development Fund, CCDF)

Variable names: `[cc_subsidy]`

The Child Care and Development Fund (CCDF) is a multibillion-dollar Federal and State partnership programme. As a block grant, CCDF provides funding to states, territories, and tribes to provide child care subsidies through vouchers or certificates to low-income families, and grants and contracts with providers in some states. CCDF provides access to child care services for low-income families so parents can work, attend school, or enrol in training. Additionally, CCDF promotes the healthy development of children by improving the quality of early learning and afterschool experiences. In FY 2021, Congress appropriated USD 9.46 billion in discretionary and mandatory matching funds to 56 states and Territories and 265 Tribal grantees; encompassing over 500 federally recognized tribes. In FY 2018 (latest preliminary data available), CCDF served approximately 1.321 million children under the age of 13 from 813,200 low-income working families each month.²³ Each state has discretion in determining how its CCDF child care programmes will operate. CCDF subsidies may be used to pay for care offered in non-center, family settings. TaxBEN uses CCDF as implemented in Michigan.

COVID-19 measures (Not currently implemented in TaxBEN model)

²¹ http://nieer.org/wp-content/uploads/2020/04/YB2019_Full_Report.pdf

²² http://nieer.org/wp-content/uploads/2020/04/Michigan_YB2019.pdf

²³ Further characteristics of families served by the Child Care and Development Fund (CCDF) based on preliminary FY 2018 data can be found here: <https://www.acf.hhs.gov/occ/resource/fy-2018-ccdf-data-tables-preliminary>. Note however that this is only a small fraction of children eligible for child care subsidies. More details on eligibility versus actual participation ("take-up") rates can be found here (for FY 2016): <https://aspe.hhs.gov/system/files/pdf/262926/CY2016-Child-Care-Subsidy-Eligibility.pdf>

Congress appropriated USD 3.5 billion in March 2020 and 10.0 billion in December 2020 in supplemental discretionary funds to help States, Territories, and Tribes with childcare expenses necessary to prevent, prepare for, and respond to coronavirus. Allowable uses of these funds include, but are not limited to:

- maintaining the child care supply by providing continued payments to child care providers in the case of decreased enrolment or closures;
- providing child care assistance to health care employees, emergency responders, sanitation workers, and other essential workers; and
- cleaning and sanitation of child care facilities.

States, Territories, and Tribes may spend these funds for costs incurred prior to the appropriations (March 27, 2020 and December 27, 2020) and must spend the funds no later than September 30, 2023.

In March 2021, Congress provided an additional \$15 billion in supplemental funding for childcare, which States, Territories, and Tribes must spend no later than September 30, 2024. All of the supplemental appropriations to address coronavirus can be used for childcare assistance for health care employees, emergency responders, sanitation workers, and other essential workers, regardless of their income.

The March 2021 appropriation also included additional funding that States, Territories, and Tribes must spend no later than September 30, 2023 specifically to provide stabilization grants to childcare providers. Childcare providers can use these funds for personnel costs, rent and utilities, personal protective equipment, cleaning supplies, updated equipment, mental health services for children and employees, and other goods and services needed to maintain or resume childcare services.

5.3.1. Eligibility

Parents must be working, or seeking employment, or attending job training or education. Typically a child must be under age 13, however, children with special needs may be eligible up to 19 years of age.²⁴ According to the most recent income-thresholds data the eligibility thresholds based on income for a family of three ranged from USD 1,423 per month in Puerto Rico to USD 5,802 per month in California. As of 2021, Michigan's eligibility threshold for a family of three is USD 2,715 per month (the basic level, for a family of one, is USD 1,595 per month).²⁵

The Federal law requires states to provide a minimum of 12 months of eligibility to children of families receiving CCDF assistance, regardless of increases in parents'

²⁴ As TaxBEN focusses on pre-school children, the age limit applied in the model is below 6 years.

²⁵ https://www.michigan.gov/documents/mde/CDC_Income_Eligibility_Chart_7.2015_reauth_chgs_493178_7.pdf; https://ccdf.urban.org/sites/default/files/state_2019_ccdf_policies_dec_2020.pdf, Table 14, pp. 115-116.

These thresholds reflect the income level needed to initially qualify for child care subsidies; some states have a second, higher threshold for families who already receive subsidies to allow for some income growth over time without impacting continued eligibility.

earnings as long as their income remains at or below the eligibility threshold of 85 percent of state medium income (SMI).^{26 27}

5.3.2. *Benefit amount*

CCDF childcare benefits amounts are set by the state and typically vary by type of provider and other factors. Families receiving CCDF subsidies are required to contribute to the price of care on a sliding scale (based at a minimum on family size and income), although states may waive co-payments for families at or below poverty, for children in protective services, or families meeting other criteria established by the state.

Michigan's child care subsidies are based on a sliding scale related to gross monthly income and family size. Michigan uses two eligibility criteria:

- an “entry” income ceiling for the initial subsidy eligibility per month ranges from USD 2,156 for a family of 2 to USD 3,275 for a family of 4, and
- a “continuing” income ceiling for families that continue in the program of USD 4,320 per month for a family of 2 and USD 6,353 per month for a family of 4.

The TaxBEN model applies the “entry” eligibility threshold. Co-payments range from USD 0 to USD 78 per child—bi-weekly pay period depending on income and subject to a maximum amount.²⁸ Provider payment rate ceilings vary by age of child, type of care, and by locality. For centre-based care, the base rate ceiling for Michigan is USD 4.30 per hour for infants/toddlers (under age 2 ½), USD 3.05 per hour for preschool (over age 2 ½ to age 5), and USD 2.95 for school-age (over age 5).²⁹ Providers at higher quality ratings receive higher payments. Michigan waives co-payment fees for some families at or below the poverty level, specifically for families receiving TANF cash assistance and for families with children receiving protective services (not considered in TaxBEN, and households are required to pay both the co-pay amounts and any excess costs above the CCDF subsidy). Michigan pays its child care subsidies based on an hourly rate.

²⁶ In addition, the Federal law requires states to prioritize services for specific populations including children of very low income families, children with special needs, and children experiencing homelessness. States have flexibility as to how they offer priority to these populations, including by prioritizing enrolment, waiving co-payments, paying higher rates for access to higher-quality care, or using grants or contracts to reserve slots for priority populations. Many states offer priority for a child care subsidy eligibility to families receiving TANF cash assistance and to families transitioning off of TANF.

²⁷ <https://www.acf.hhs.gov/ocs/policy-guidance/liheap-im-2020-02-state-median-income-estimates-optional-use-fy-2020-and>

²⁸ https://www.michigan.gov/documents/mde/CDC_Income_Eligibility_Chart_7.2015_reauth_chgs_493178_7.pdf. Families must have incomes below the “entry” ceiling to begin receiving subsidies. Then, their income can keep increasing past the “entry” amount, and they will remain eligible for assistance until they hit the “exit” threshold. As TaxBEN assumes constant monthly earnings throughout a year and in order not to overestimate eligibility, only “entry” ceilings are considered in the model. Therefore, co-payments range from USD 0 to USD 15 only per child—bi-weekly pay period with a maximum amount per family of USD 45.

²⁹ https://www.michigan.gov/documents/mde/Payment_Rates_for_Website_469416_7.pdf, p.2

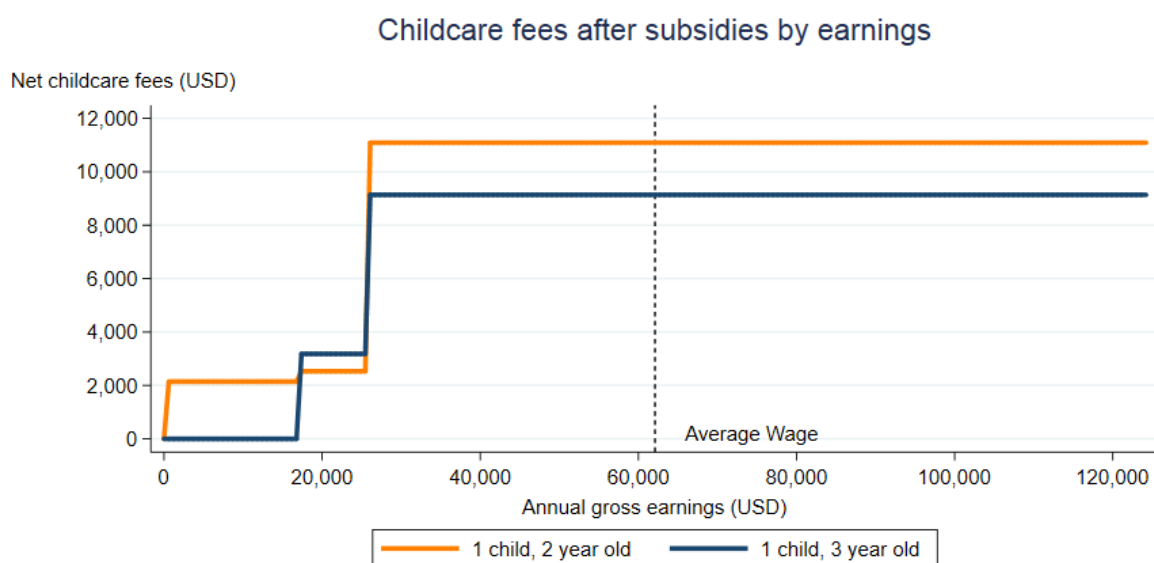
5.3.3. Tax treatment

No states are known to treat CCDF or TANF assistance as taxable income source.

5.3.4. Interaction with other components of the tax-benefit system

When determining eligibility for CCDF, Supplemental Security Income (SSI) is fully counted in approximately half the states. TANF income is fully counted in a little under half of the states; it is either not counted or only counted under certain circumstances in the remainder. Most states do not count the value of energy assistance, housing assistance, the SNAP, or state EITC refunds.³⁰ Michigan does not take into account any of these benefits³¹ to determine eligibility but only gross income (and unemployment benefits) which is the case modelled in TaxBEN.

Figure 4. Childcare fees after subsidies



Note: Results for a lone parent working full-time with one child (aged 2 and 3 respectively), adult is aged 40. Gross childcare fees are shown after taking into account any free provision of childcare through the Head Start Program (as applicable), as well as the reduction through the CCDF subsidy (as applicable).

Source: Calculations based on the OECD tax-benefit model.

5.4. Childcare benefit for formal centre-based care

Variable names: `[cc_benefit]`

None.

³⁰ CCDF Policies Database Book of Tables: Key Cross-State Variations in CCDF Policies as of October 1, 2018, The Urban Institute:

https://www.acf.hhs.gov/sites/default/files/opre/cross_state_variation_ccdf_policies_2018.pdf

³¹ With the exception of SSI (not modelled in TaxBEN): Although the SSI benefits received by the child under consideration for CCDF benefits is not considered, SSI received by another household member (e.g., a sibling), is counted.

5.5. *Childcare allowance for children not using childcare centres*

None.

5.6. *Tax concessions for childcare expenditures (Child and Dependent Care Tax Credit, CDCTC)*

Variable names: [\[ActualCDCC_1; ActualCDCC_2\]](#)

The federal Child and Dependent Care Tax Credit (CDCTC) provides tax assistance to families who pay for child care in order to work in paid employment or look for work. The amount of credit is based on income, the number of dependents, and the amount of childcare expenses. Families with adjusted gross income of less than or equal to USD 125 000 are eligible to receive a childcare credit for 50 percent of qualifying childcare expenses; the credit is fully refundable. Families with higher income receive a lower credit, with the rate falling to 20 percent for individuals and couples with adjusted gross incomes above USD 183 000. The credit rate remains at 20 percent until an income of \$400,000 is reached, at which point it phases down again, reaching 0 percent at \$438 000 of income. In 2021, qualifying child care expenses were capped at USD 8 000 for one child and USD 16 000 for two or more children. Thus the maximum value of the credit was USD 4 000 for an individual or couple with one child and adjusted gross income below USD 125 000, and USD 8 000 for that same family with two or more children.³²

Some states also have a state credit that adds to the federal credit. Michigan at this time does not have a state CDCTC.

6. In-work benefits

6.1. *Earned Income Tax Credit (EITC)*

Variable names: [\[IW; EIC_1; EIC_2; local_EIC_1; local_EIC_2\]](#)

The EITC is a refundable tax credit. Eligible for EITC are working families with children under 19 (or under 24 if full-time student, or any age if permanently or totally disabled) and childless working persons aged 19 and older that meet certain income thresholds. As shown in the tables below, the credit phases in at a certain rate (a certain percent of income) until a maximum credit amount is reached. The credit then remains at that maximum amount until it begins to phase out at a certain rate, reaching zero dollars at a certain income amount.

Filing Status Single

	Phase-in rate	Phase-in ends	Maximum credit amount	Phase-out begins	Phase-out rate	Phase-out ends (EITC = \$0)
Childless	15.30%	\$9,820	\$1,502	\$11,610	15.30%	\$21,427
1 Child	34%	\$10,641	\$3,618	\$19,517	15.98%	\$42,158
2 Children	40%	\$14,950	\$5,980	\$19,520	21.06%	\$47,915
3+ Children	45%	\$14,951	\$6,728	\$19,517	21.06%	\$51,464

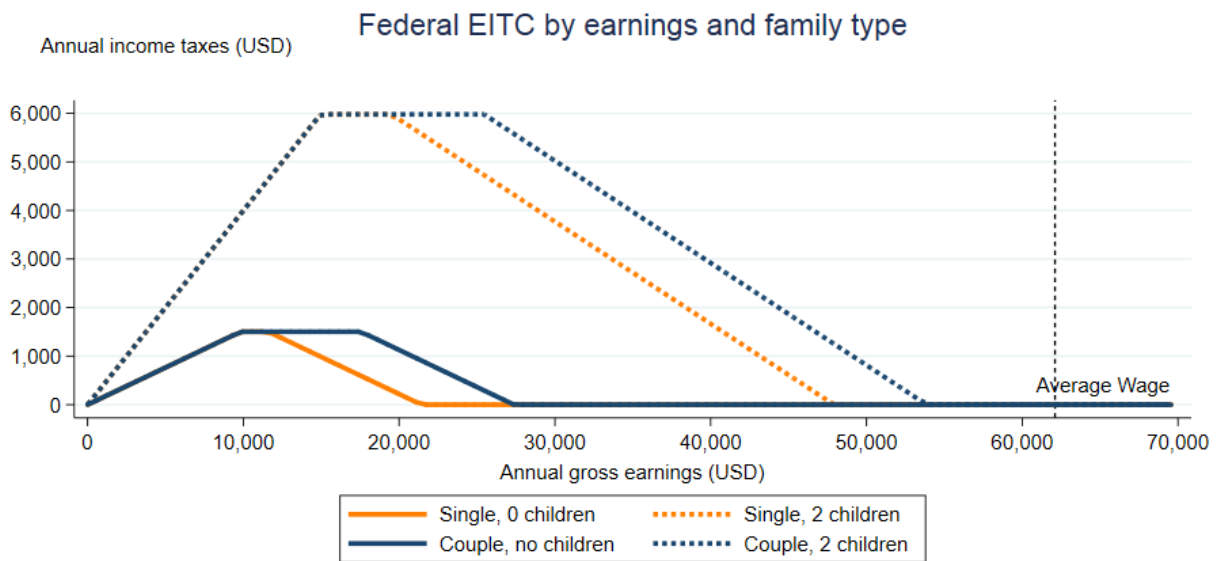
³² See the “The [Child and Dependent Care Tax Credit: Temporary Expansion for 2021 Under the American Rescue Plan Act of 2021](#)” for more information.

Filing Status married filing jointly

	Phase-in rate	Phase-in ends	Maximum credit amount	Phase-out begins	Phase-out rate	Phase-out ends (EITC = \$0)
Childless	15.30%	\$9,820	\$1,502	\$17,550	15.30%	\$27,367
1 Child	34%	\$10,641	\$3,618	\$25,467	15.98%	\$48,108
2 Children	40%	\$14,950	\$5,980	\$25,470	21.06%	\$53,865
3+ Children	45%	\$14,951	\$6,728	\$25,467	21.06%	\$57,414

Michigan additionally applies a local EITC, see Section 8.2.

Figure 5. Federal EITC by family type



Note: Results for a single (one-earner couple) without children/with 2 children aged 4 and 6; adults are aged 40. The spouse in the one-earner couple is without work but available to the labour market (i.e. assumed to meet any behavioural eligibility requirements as applicable).

Source: Calculations based on the OECD tax-benefit model.

7. Social security contributions and payroll taxes

7.1. Employee's social security contributions

Variable names: `[SC; SOCSEC_p; SOCSEC_s]`

In 2021, the rate for employee contributions is 7.65% (6.2% for old age, survivors, and disability insurance, and 1.45% for Medicare (hospital insurance)). The 6.2% rate applies to earnings up to USD 142,800. Beginning in 1994, there is no limit on the amount of earnings subject to the 1.45% rate.

There is an additional 0.9% tax on employee wages and salaries that exceed USD 200 000 (USD 250 000 for joint returns) as the additional hospital insurance tax on high-income taxpayers. The additional tax on wages and salaries is subject to withholding (but without regard to the earnings of the spouse) when wages from a particular job exceed USD 200 000 per year. These thresholds are not indexed for inflation.

7.2. Employer's social security contributions

Variable names: `[SSCR; SSCR_p; SSCR_s]`

Pensions: The rate for employers' contributions is 6.2% on earnings up to USD 142,800 and 1.45% of all earnings (without limit).

Unemployment: Employers are required by the federal government to pay unemployment tax of 6% on earnings up to USD 7 000. Taxes are also paid to various state-sponsored unemployment plans which may generally be credited against the required federal percentage. In 2020 (latest data available) the estimated average unemployment insurance tax rate in Michigan was 2.94% of the first USD 9 000 of wages.³³ The model considers that the Federal government allows employers to take a credit for state unemployment taxes of up to 5.4%, resulting in a net Federal tax of 0.6% (6% minus 5.4%) on earnings up to USD 7 000.

7.3. Payroll taxes

See Section 7.1.

8. Taxes

8.1. Personal income tax

Variable names: `[IT; INCTAX_1; INCTAX_2]`

Taxation period is the calendar year.

Households in the United States are generally taxed in one of four ways:

- As married couples filing jointly on the combined income of both spouses;
- As married individuals filing separately and reporting actual income of each spouse;
- As heads of households (only unmarried or separated individuals with dependents).
- As single individuals.

Married couples generally benefit from a more favourable schedule of tax rates for joint returns of spouses (see Section 8.1.2). Therefore, TaxBEN assumes that couples always file jointly.

8.1.1. Tax allowances and reliefs

Variable names: `[ALLOW_1; ALLOW_2; basic_1; basic_2; CH_CRED_TOT_1; CH_CRED_TOT_2]`

Basic allowances: For the 2021 tax year a married couple filing a joint tax return is entitled to a standard deduction of USD 25 100. The standard deduction is USD 18 800 for single heads of households (e.g. lone parents), and USD 12 550 for single individuals and for married filing separately. This relief is indexed for inflation.^{34,35}

³³ <https://oui.doleta.gov/unemploy/docs/aetr-2020.pdf>

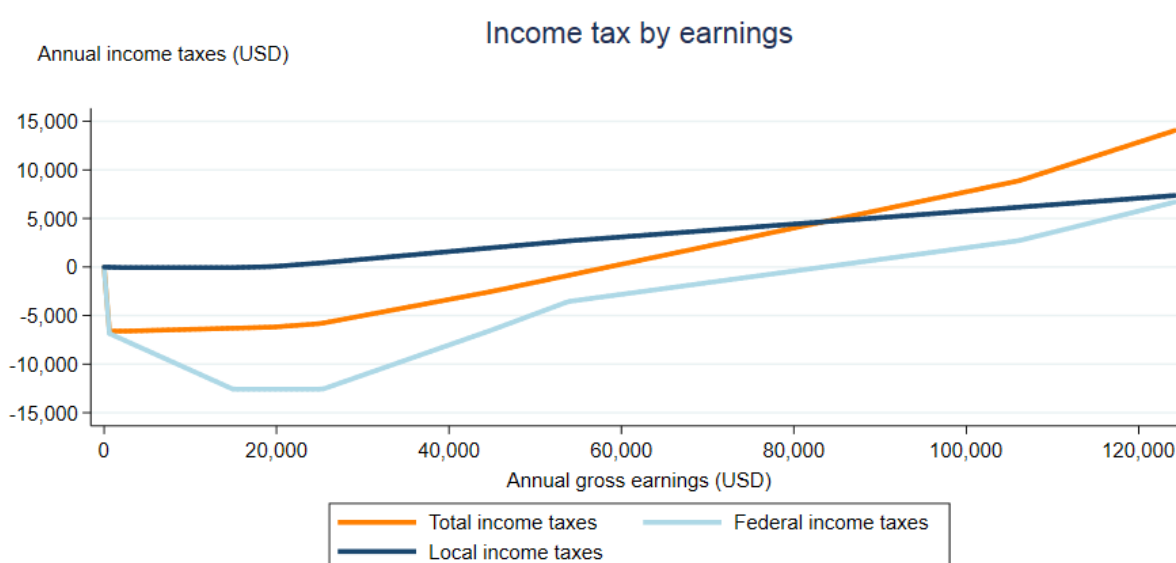
³⁴ More liberal standard deductions are available for taxpayers who are age 65 or older and taxpayers who are blind. Special rules apply to children who have sufficient income to pay tax and are also claimed as dependents by their parents.

The additional **personal exemption** was abolished in 2018.

Earned Income Tax Credit (EITC): see Section 6.

Child tax credit: Taxpayers are permitted a tax credit for each qualifying child under the age of 18. In 2021 the maximum credit is USD 3 000 per child 6 to 17 years old and USD 3 600 per child 0 to 5 years old. The credit is fully refundable and fully available to persons with no earned income. The credit phases out at a rate of 5 percent when income exceeds USD 150 000 for married taxpayers filing jointly (USD 112 500 for head of household – e.g. lone parent – taxpayers and USD 75 000 for singles), until the credit reaches USD 2 000. The credit then remains at USD 2 000 per child until an income threshold of 200 000 single/ 400 000 married is reached, after which the credit continues to phase down to zero.³⁶

Figure 6. State and Federal income tax by earnings



Source: Calculations based on the OECD tax-benefit model. Results are presented for a one-earner couple with 2 children aged 4 and 6; adults are aged 40. The spouse is without work but available to the labour market (i.e. assumed to meet any behavioural eligibility requirements as applicable).

8.1.2. Definition of the tax base

Gross income minus the above tax exemptions.

8.1.3. Income tax schedule

³⁶ For more information, see “[The Child Tax Credit: Temporary wsExpansion for 2021 Under the American Rescue Plan Act of 2021](#)”

Taxable Income Bracket (USD):

Marginal Tax Rate	Taxable Income			
	(Single)	(Married Filing Jointly)	(Married Filing Separately)	(Head of Household)
10%	Up to \$9,950	Up to \$19,900	Up to \$9,950	Up to \$14,200
12%	\$9,951 to \$40,525	\$19,901 to \$81,050	\$9,951 to \$40,525	\$14,201 to \$54,200
22%	\$40,526 to \$86,375	\$81,051 to \$172,750	\$40,526 to \$86,375	\$54,201 to \$86,350
24%	\$86,376 to \$164,925	\$172,751 to \$329,850	\$86,376 to \$164,925	\$86,351 to \$164,900
32%	\$164,926 to \$209,425	\$329,851 to \$418,850	\$164,926 to \$209,425	\$164,901 to \$209,400
35%	\$209,426 to \$523,600	\$418,851 to \$628,300	\$209,426 to \$314,150	\$209,401 to \$523,600
37%	Over \$523,600	Over \$628,300	Over \$314,150	Over \$523,600

8.2. Local income taxes

Variable names: `[ST_LOC_TAX_1; ST_LOC_TAX_2]`

Most states impose some form of individual income tax. In addition, some local governments impose an individual income tax, although this is not generally the case. TaxBEN simulates the following local tax instruments as applied in Michigan:

- The state of Michigan permits a personal exemption of USD 4900 for the taxpayer and taxes income at the rate of 4.25 percent.
- Michigan allows taxpayers who are eligible to claim the federal earned income tax credit (EITC; cp. Section 6) to claim a Michigan EITC. The Michigan EITC is a refundable (non-wastable) credit equal to 6 percent of the federal EITC.
- The city of Detroit permits a personal exemption of USD 600, 1200 for joint filers, and USD 600 for each child or other eligible dependent. Income is taxed at the rate of 2.4 percent.

9. Selected output from the OECD tax-benefit model (TaxBEN)

This section shows selected output of the TaxBEN model for the United States in 2021 (see figure below). TaxBEN by default produces the following output: 1) net household incomes (**black line**) and 2) related income components (**coloured stacked areas**) for selected family and individual circumstances (users are free to select many of these circumstances). The model and the related web calculator is accessible from the [project website](#). The figure below shows output for a two-adult family with two children (adults are both 40 years old whereas children are 4 and 6 years old respectively) and four different scenarios:

By percentage of the average wage (**Panel A**);

By unemployment duration (in months) for a jobseeker claiming unemployment benefits (**Panel B**);

By previous gross earnings levels for a jobseeker claiming unemployment benefits (**Panel C**);

By previous employment record (in months), for a jobseeker claiming unemployment benefits (**Panel D**).

The stacked areas show the following household income components: **GROSS** = gross earnings; **UB** = unemployment benefits; **SA** = social assistance / guaranteed minimum income benefits; **HB** = housing benefits; **FB** = family benefits; **IW** = in-work benefits; **SSC** = social security contributions; **IT** = income tax. Note that these components may be the result of the aggregation of more than one benefit/tax into a composite category. Please refer to the sections above for the benefits/taxes included in each category.

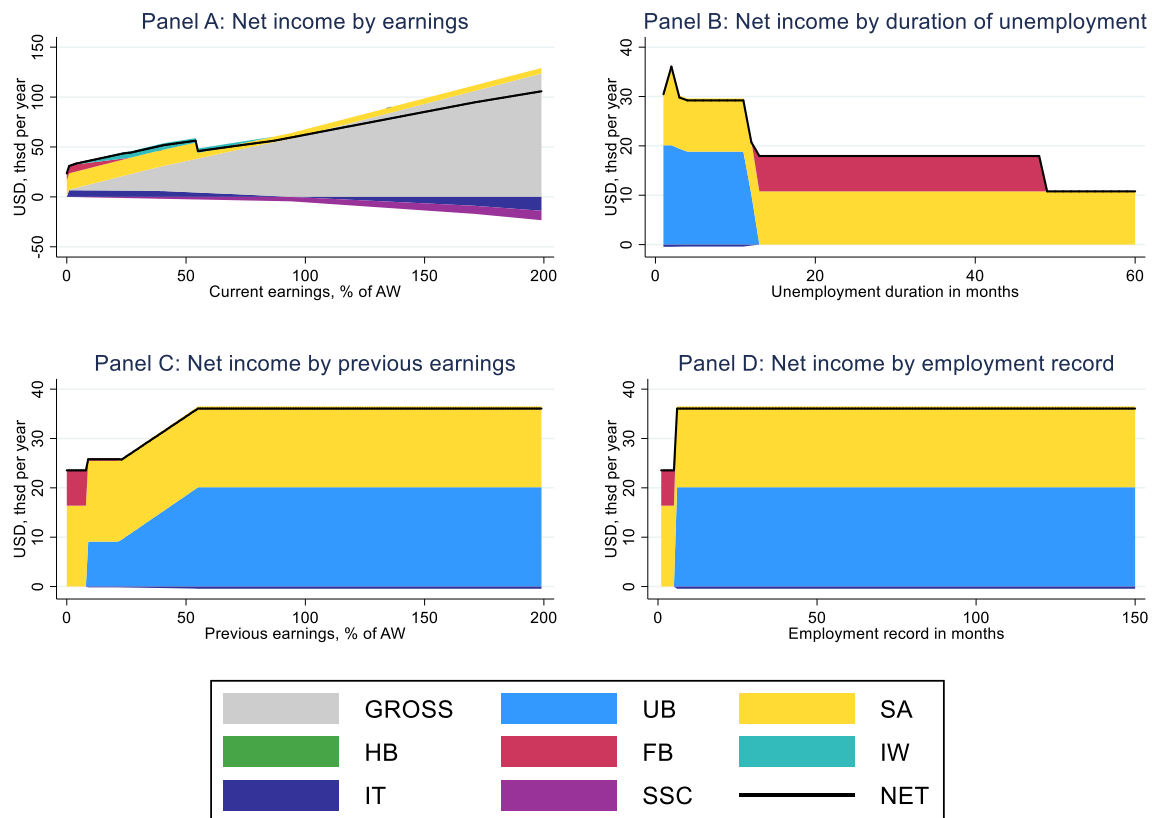
Social assistance and housing benefit supplements are assumed to be available in all the four scenarios provided that the necessary income and eligibility requirements are met. Where receipt of social assistance or other benefits is subject to activity tests (such as active job-search or being available for work), these requirements are assumed to be met.

Panel A assumes that one adult family member (the so-called ‘second adult’ using the TaxBEN terminology) is out of work and not eligible for unemployment benefits (e.g. because they have expired) whereas the other adult member (the so-called ‘first adult’) is employed full-time throughout the entire year at different earnings levels ranging between 0 and 200% of the average wage (AW). When earnings of the first adult are precisely 0% of the AW this person is assumed to be out of work without receiving unemployment benefits (again, e.g. because they have expired) but claiming social assistance or guaranteed minimum income benefits, as applicable.

Panels B to D assume that the second adult is out of work and not eligible to unemployment benefits whereas the first adult is also out of work and claiming unemployment benefits. In Panel B and C the first adult is assumed to have a ‘long’ employment record of 264 consecutive months before the job loss. The x-axis in Panel B measures the time of benefit receipt, starting from the first month. The x-axis in Panel C shows the amount of previous gross earnings (before any social contribution payments). Results in Panels C and D refer to the 2nd month of unemployment benefit receipt. In Panel B and D, previous earnings are assumed to be equal to the average wage.

Figure 7. Selected output from the OECD tax-benefit model

Couple with two children; USD per year



Source: Calculations based on the OECD tax-benefit model. One-off payments are paid in the second month.

Annex I: Other benefits and direct taxes

This section provides a brief description of other cash benefits and taxes on employment incomes in the United States that are relevant for some members of the population below the statutory retirement age, but which are not included in the OECD tax-benefit model.

Supplemental Security Income (SSI)

SSI is a means-tested, federally administered income assistance programme that provides monthly cash payments in accordance with uniform, nation-wide eligibility requirements to needy aged, blind and disabled persons.

General Assistance programme (GA)

GA is a subsidy provided by local governments to needy individuals or families who do not qualify for the other major assistance programmes and to those whose benefits from other assistance programmes are insufficient to meet basic needs. Help may either be in cash or in kind, including such assistance as groceries and rent. Eligibility requirements and benefit amounts vary from state to state, and often within a state. Payments are usually at lower levels and of shorter duration than those provided by federally financed programmes. GA is administered and financed by state and local governments under their own guidelines.

Housing benefits

In the US, there are three primary rental assistance programs provide support for tenants subject to eligibility based on income: 1) public housing; 2) project-based Section 8 programs; 3) tenant-based Section 8 vouchers. Eligible income limits are based on a percentage of the local Area Median Income (AMI): no greater than 80 percent of AMI for both public housing and project-based Section 8 programs, and no greater than 50 percent of AMI for Section 8 vouchers, with adjustments for family size.

In practice, the three rental assistance programs serve tenants with much lower incomes - primarily below 30 percent of AMI. Local housing providers determine eligibility and admit tenants. Public housing authorities (PHAs) administer the public housing and tenant-based Section 8 programs, and private owners of assisted multifamily developments administer the project-based Section 8 program. Admission priorities are usually based on time on the local waiting list, but localities are allowed to establish local preferences (for example, for families transitioning to work from welfare, individuals with disabilities, and senior households).

The Department of Housing and Urban Development (HUD) calculates median incomes for the purpose of determining eligibility for federal rental assistance programs. For fiscal year 2020, HUD estimated the national median income for a family of 4 at \$78,500³⁷ with 80 percent of the median being \$62,800 and 30 percent being \$23,550.

³⁷ Alternatively to the standard basic allowance, it is possible to claim a basic non-standard relief which is the deduction of certain expenses to the extent that, when itemised, they exceed in

Using the example of the State of Michigan, the median income for a family of four was \$74,000 per year, with 80 percent being \$59,200 and 30 percent being \$22,200.

Tenants are required to pay 30 percent of their income for rent. Tenants in the Section 8 voucher programme are also allowed to pay more than that amount to access higher priced housing. There are often a series of deductions for rental payments for elderly and disabled persons, youth and families with specific expenses (e.g. child care).³⁸ In the public housing and tenant-based Section 8 programs, local PHAs are authorized to charge a “minimum rent” up to \$50 for families with very small incomes with hardship exceptions for some households.

In the public housing and project-based Section 8 programs, the benefit is the value of the housing provided. In the Section 8 voucher program, the subsidy makes up the difference between the tenant’s rent contribution and a locally determined Fair Market Rent. Again, using this Chapter’s example of the State of Michigan, the Fair Market Rent for the Detroit-Warren-Livonia metro area for a 2 bedroom apartment in 2021 was \$1,049 per month.³⁹

There is no statutory limit on duration of assistance. Families may lose assistance due to failure to comply with lease obligations, or through fraud or other criminal activity. Housing assistance is not taxable.

aggregate the standard deduction. TaxBEN assumes that workers claim the standard allowance, so further details on the non-standard allowance are not provided.

³⁷For information on the area median income limits that are developed and issued by the U.S. Department of Housing and Urban Development for use in a variety of federal housing programs, please see https://www.huduser.gov/portal/datasets/il.html#2020_data. For the FY 2020 median income limits and the methodology used to develop them, see Methodology for Calculating FY 2020 Medians (including the table in Attachment 2 for the US national and State of Michigan median income estimates).

³⁸ Several types of income deductions reduce the required tenant rent contributions for families with a head of household who is elderly or disabled, medical expenses that exceed 3 percent of income per year, “reasonable” child care expenses, minors, and adults who are full-time students (or attending vocational training, disabled family members). In addition, child support, spousal support and income earned by minors are not counted toward income (with some limits) for purposes of calculating rent.

³⁹ More information on calculation of Fair Market Rents can be found at <https://www.huduser.gov/portal/datasets/fmr.html>. The specific FMRs for individual areas can be found using the Query Tool.

Annex II: Programs not currently implemented

This section provides a brief description of other social protection systems in the United States, but which are not currently included in the OECD tax-benefit model.

1.1. *Mandatory employer sick leave (Paid Medical Leave)*

1.1.1. *Entitlement and eligibility conditions*

Eligible employers:

Employers who may be eligible for the tax credits include businesses and tax-exempt organizations with fewer than 500 workers that are required to provide paid sick leave or family leave to their employees. Note however that businesses, including a religious or nonprofit organization, with fewer than 50 employees may be able to exempt themselves from the requirements to pay leave for reasons relating to school closure or unavailability of child care if compliance with the requirements would jeopardize the viability of the business.

Certain public employers (federal, state, and local) cannot receive the tax credits even if they are required to provide paid sick leave or family leave to their employees.

Eligible employees:

Eligible employees for expanded family and medical leave include employees described in (1) and (2) in the following sections who have worked for the employer for any period of time; or employees described in (3) in the next sections who have worked for the employer for at least 30 days. All employees are eligible for paid sick leave, regardless of length of service.

Tax credits are also available to employers with employees described in (3) in the next column. Self-employed individuals, including gig workers, are eligible for an equivalent credit.

1.1.2. *Benefit amounts and duration*

See 1.1.3

1.1.3. *Benefit duration*

Paid leave amount varies by the reason the employee is unable to work or telework:

Paid Sick Leave:

- (1) Subject to a government quarantine order related to COVID-19, advised by a health care provider to self-quarantine for reasons related to COVID-19, or experiences symptoms of COVID-19 and is seeking a diagnosis.
 - Benefit duration: Up to 80 hours for full-time employees, 2 weeks equivalent for part-time employees.
 - Benefit amount: Employee's regular pay (or highest applicable minimum wage, if higher), up to \$511/day and \$5,110 in total.
- (2) To care for the employee's child because their school or place of care is closed or child care provider is unavailable, or to care for an individual who is subject to a

government quarantine order related to COVID-19 or has been advised by a health care provider to self-quarantine for reasons related to COVID-19.

- Benefit duration: Up to 80 hours for full-time employees, 2 weeks equivalent for part-time employees.
- Benefit amount: Two-thirds of the employee's regular pay (or the highest applicable minimum wage), up to \$200/day and \$2,000 in total.
- Note that employees unable to work or telework because their child's school or place of care is closed or unavailable may be paid using both the 2 weeks in this provision and the 10 weeks in the following provision under paid family leave, for a total of 12 paid weeks. Otherwise, the first 10 days for which an employee takes leave may consist of unpaid leave.

Paid Family Leave:

(3) To care for the employee's child because their school or place of care is closed, or child care provider is unavailable.

- Benefit duration: Up to 10 weeks of paid family leave.
- Benefit amount: Not less than two-thirds of the employee's regular pay (or applicable minimum wage, if higher), up to \$200/day and \$10,000 in total.

Effective April 1 to December 31, 2020

The Families First Coronavirus Response Act provides employers with a refundable tax credit to offset the cost of providing workers with this paid sick and family leave. See Appendix (excel spreadsheet) for more information concerning this credit.

1.1.4. Means test

Not means tested

1.1.5. Tax treatment

Emergency paid sick leave is considered income and therefore is taxable

1.1.6. Interactions with other components of the tax-benefit system

n/a

1.1.7. Combining benefit receipt and employment/starting a new job

n/a

Relevant Websites:

<https://www.dol.gov/agencies/whd/pandemic/ffcra-employee-paid-leave>

<https://www.irs.gov/newsroom/covid-19-related-tax-credits-for-required-paid-leave-provided-by-small-and-midsize-businesses-faqs>

<https://www.dol.gov/agencies/whd/ffcra>

1.5 Mixed Earners Unemployment Compensation (MEUC)

1.5.1 Entitlement and eligibility conditions

Under the Continued Assistance Act, the Mixed Earners Unemployment Compensation (MEUC) program requires an individual to have received at least \$5,000 of self-

employment income in the most recent taxable year prior to the individual's application for regular UC, be receiving a UI benefit (other than PUA) for which FPUC is payable, and submit documentation to substantiate self-employment income.

1.5.2. Benefit amounts

The MEUC supplemental benefit amount is equal to \$100 per week.

1.5.3. Benefit duration

Under the Continued Assistance Act, MEUC is payable beginning with weeks of unemployment no earlier than week ending January 2, 2021, for states with a week ending date of Saturday, through the week of unemployment ending on or before March 13, 2021. For states with a week ending date of Sunday, MEUC is payable beginning January 3, 2021, through March 14, 2021.

1.5.4. Means test

The MEUC program does not have a means test.

1.5.5. Tax treatment

MEUC benefit income is subject to both Federal and State government income tax.

1.5.6. Interactions with other components of the tax-benefit system

MEUC is payable to individuals who are receiving a UI benefit (other than PUA) for which FPUC is payable, and submit documentation to substantiate self-employment income.

1.5.7. Combining benefit receipt and employment/starting a new job

An individual could perform work on a part-time basis, thus receiving a reduced benefit amount due to earnings, and still receive the full MEUC amount. The earnings disregard is based on state law.

1.2. Coverage of Covid-10 Testing

Funding to pay claims of providers for the detection of SARS-CoV-2 or the diagnosis of the virus that causes COVID-19 and testing related visits for the uninsured. Also, expanded coverage of private and government provided health insurance to cover testing for SARS-CoV-2 / COVID-19 with no cost-sharing during the emergency period, for those with insurance. One billion dollars is made available until the money is expended. (Department of Health and Human Services)

Relevant Websites:

<https://www.kff.org/global-health-policy/issue-brief/the-families-first-coronavirus-response-act-summary-of-key-provisions/>